The Swoosh at the Crossroads

You and I across the desk: a ten-chapter masterclass on NIKE's product engine, channel reset, cash conversion, competitive position, and the price of a long turnaround.

Company & Market: NIKE, Inc. (NYSE: NKE) — Ten-Chapter Business Monograph & Independent Investment Dossier (US)
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SESSION PRICE

$38.59

VERDICT

WAIT_FOR_SUPPORT

STAGE POSTURE

STAGE_1

BUY / SUPPORT ZONE

$37.18–38.53

BASE / BULL TARGET

$36.00 / $50.00

PREFACE & CORE THESIS

NIKE remains one of the world's strongest sports brands, but brand strength is not the same as an attractive entry price. At the 6 Nov 2026 close, NKE was $38.59, down 44.2% from its 52-week high; Q1 FY2027 revenue fell 4% reported, Greater China declined 26% currency-neutral and operating cash flow was $135 million. Running and football are growth pockets, but Sportswear, Jordan and China remain unresolved. Our verdict is WAIT FOR SUPPORT: no new allocation until price reclaims a rising 30-week average and full-price sell-through, working capital and cash conversion improve; the monitor band is $37.18–$38.53, $36.29 is a non-guaranteed invalidation reference, and our scenario values are $24 bear, $36 base and $50 bull—not promises.

PROLOGUE

The Business, the Price & Our Independent Verdict

> *"A famous brand can still be a poor entry price."*
>
> — RESEARCH DESK MAXIM

Let us begin with the question that matters more than the logo. You and I can admire the Swoosh, its athletes and its archive and still refuse to buy the stock at the wrong moment. A brand is a commercial asset; an investment is a claim on the cash that asset may produce at a price we pay today.

At the close on Friday, 6 November 2026, NIKE traded at $38.59. The share price was down 44.2% from its 52-week high. The latest annual report showed $46.4 billion of revenue, nearly flat year over year but well below the 2024 peak. The latest quarter was more difficult: revenue declined 4% reported, Greater China fell 26% on a currency-neutral basis, and operating cash flow was only $135 million. We will not hide those figures behind nostalgia.

Now place the counterevidence beside them. Performance grew high single digits in Q1, running and global football were strong, North America grew, and gross margin expanded to 42.8%. Management says the performance portfolio reached $16 billion in FY2026. That is meaningful progress, but the CEO also acknowledged that performance is not yet large enough to offset weakness in Sportswear, Jordan and Greater China. The candid sentence is more useful than the slogan: it describes both the engine and the gap.

You can build the bull case without pretending the bear case is foolish. NIKE retains a broad product library, a global athlete network, billions of consumer relationships, and one of the industry's most valuable routes into sport. It is rebuilding wholesale ties while directing design teams back toward sport-specific needs. Its new product work may restore energy in running, football and training. A strong balance sheet gives management time to reset inventory rather than liquidate the brand to meet a quarterly number.

The bear case is equally grounded. Revenue is below its FY2024 high. Direct sales remain weak, Converse has contracted sharply, and China is being deliberately cleaned up at the cost

of near-term sales. The new Pace plan promises savings over several years, not next quarter. When you see a turnaround stock, ask what has already improved in cash, not only what management hopes to improve in culture or product.

Our conclusion is therefore narrower than “Nike is back” and less dramatic than “Nike is broken.” The business is repairable; the stock is not yet a high-conviction new buy. The snapshot places NKE in Stage 1, below a falling 30-week average and below its 200-day average. The support band is a place to observe a response, not permission to ignore the missing trend confirmation.

There is no contradiction in saying a company is excellent and a stock is not yet attractive. The company’s franchise can retain long-term option value while the near-term revenue path remains uncertain. If we buy now, we are paying for the possibility that several difficult businesses improve together. If we wait, we may pay a higher price after confirmation. That is the actual trade-off—not “bullish” versus “bearish,” but certainty purchased later versus uncertainty purchased now.

There is a cost to waiting: if Nike delivers a clear plan and the chart turns, you may pay more than $38.59 to enter. There is also a cost to buying before the evidence: if China, Direct or working capital worsens, the share price may fall even though the brand still looks familiar. We choose the first cost because it preserves the ability to invest after uncertainty falls. The decision is not permanent; the gates are written so new evidence can change it.

> **NARRATOR'S REFLECTION**
>
> *"Despite that progress, our NIKE Performance business is not yet large enough to offset the pressure we're seeing in NIKE Sportswear, Jordan Brand and Greater China."*
>
> Elliott Hill said this on the Q1 FY2027 call. I want you to notice the balance in the sentence. He is not asking us to choose between an innovation story and a weak quarter. He is telling us the innovation story is real and still insufficient. That distinction is the beginning of independent judgment.

GLOBAL PARALLEL (US / INDIA / EUROPE)

In the United States, Deckers' HOKA shows how a focused running proposition can grow faster than a diversified portfolio, but also how growth deserves a price discipline. In India, Campus Activewear competes through accessible price points and a sharper domestic distribution footprint; its lesson is that local fit can matter as much as global fame. In Europe, adidas' FY2025 recovery illustrates that a major brand can regain momentum after a portfolio and marketplace reset, but recovery still has to appear in orders and cash. These are analogies, not interchangeable business forecasts.

MENTAL MODEL

"A strong franchise is an asset; a strong entry is a price-and-evidence combination."

The company can improve while the stock goes sideways if expectations already anticipate that improvement. Ask what must happen for the next buyer to pay more, then ask what evidence would prove the path is failing.

Three horizons, three decisions

For a short-term trader over one to twelve weeks, our answer is wait. Price sits just above the snapshot's support zone, but it is still below the 30-week and 200-day averages. We would want support to hold and then a weekly reclaim above $41.04 with healthier volume. A close below $36.29 weakens the near-term setup; that number is a screen reference, not a promise that losses stop there.

For a medium-term investor over three to eighteen months, we want evidence that wholesale replenishment and full-price sell-through can offset intentional reductions in stale product. Greater China needs to stop deteriorating, and quarterly cash generation must improve from the Q1 low. A better gross-margin quarter is helpful, but it is not enough if traffic and working capital remain poor.

For a long-term owner over three to ten years, NIKE remains worth studying because its brand and product capacity are durable. We would add only after the return on capital and free cash flow show that the franchise is converting those assets into owner cash again. At

today's price, waiting is a positive decision: it preserves the option to buy after evidence rather than paying now for a hoped-for recovery.

CHAPTER I

How the Business and Stock Got Here — Past Cycles & Pivots

> *"A company's past is not a forecast; it is a catalogue of the costs of its last decisions."*
>
> — RESEARCH DESK MAXIM

If we trace Nike from its first shoe boxes to the current investor day calendar, you and I see a company that has repeatedly changed its route to the consumer. It began with distribution, learned to design, then built its own symbols, technologies and athlete relationships. The present debate is not an exception to that history. It is another test of whether the company can hear the consumer before the consumer moves on.

Blue Ribbon Sports was a small importer with a specific point of view: running shoes made in Japan could compete with the established German brands. Phil Knight and Bill Bowerman brought different skills to that thesis. Knight saw the distribution opportunity; Bowerman kept asking how the shoe could be lighter, more comfortable and better suited to the runner. The early story matters because Nike did not begin as an advertising machine. It began as a product-and-channel experiment with a clear user.

When the Nike name and Swoosh arrived, the company gained an owned brand that could travel beyond one supplier relationship. Bowerman's waffle outsole gave the new brand a concrete product innovation to talk about. Later, Air cushioning, basketball endorsements and Jordan created a combination of technology and cultural meaning. Each success added more than sales: it added an archive of names, designs and consumer memories that could be revisited in later product generations.

Then the business widened. Nike moved across sports, geographies and categories, and Converse added a different kind of footwear identity. Scale brought leverage: athlete contracts, design capabilities, sourcing, marketing and wholesale distribution could reinforce one another. Scale also made mistakes more expensive. When product decisions drift from what consumers want, the company cannot turn a $46 billion revenue base as quickly as a small specialist can change one line.

You and I should pay particular attention to the 2017–2020 direct-first turn. Nike wanted a closer relationship with consumers and more control over product presentation. The logic was sound. A direct channel can reveal what people browse, buy, return and repeat. Yet a digital relationship still requires compelling products, traffic, reliable fulfillment and healthy stock. When the marketplace reopened after the pandemic, Nike had to reckon with inventory, channel partners and older franchises at the same time.

The lesson is not that direct was a mistake or wholesale is the answer. The lesson is that channel strategy is a portfolio decision. Direct gives the brand data and control; wholesale gives it reach and local retail expertise. If Nike starves a good wholesale account, the customer may shop elsewhere. If Nike sends too much inventory into either channel, discounting damages the price ladder. Healthy distribution is the ability to choose the right route for each product and market.

Hill's return in 2024 brought the strategy back toward sport-specific teams and local marketplace execution. The most important test is operational: can product teams make offerings that consumers want at full price, can wholesalers reorder them, and can Nike convert those shipments into cash? The new language of Sport Offense and Pace is useful only if those three questions improve in the statements and at the shelf.

Let me put the origin story in commercial terms. Blue Ribbon Sports did not start with a globally famous brand or a complicated balance sheet. It started with a distribution thesis: Japanese running shoes could offer a useful alternative to what American runners could readily buy. Knight handled the commercial path, Bowerman kept pushing on product, and the early company listened to the runners who wore its shoes. That combination is more instructive than the mythology of a garage startup.

When Nike became an owned brand, it gained the right to tell its own story. The Swoosh could move from running into basketball, football, apparel and everyday wear. Jordan demonstrates the upside of turning an athlete relationship into an enduring product franchise. Converse demonstrates a different kind of value: a simple silhouette can persist in culture for decades. Yet neither identity is self-renewing. The current numbers—Jordan down modestly and Converse down sharply—remind us that the archive needs fresh reasons to purchase.

You and I should also remember that the direct-first pivot had a rational beginning. Digital channels offer data, presentation and the possibility of selling at a higher realized price. The mistake would be to assume that owning the storefront automatically creates demand. The company still has to attract traffic, hold the right stock, fulfill orders, serve returns and keep wholesale partners engaged. The later rebuild of those partner relationships is not an admission that direct commerce has no value; it is a correction to an overconcentrated route.

The pandemic years show the danger of reading a temporary surge as a permanent demand curve. Nike's revenue rose through the period, but supply chains and inventory planning operate with longer lead times than consumer preferences. When demand moved and product arrived, markdowns and returns became part of the cleanup. FY2025 revenue contracted sharply. In the next year, sales stabilized but did not rebound. That is why the current strategy has to prove that the company can align design, supplier commitments and retailer orders before the next season is already on a ship.

Hill's post-2024 approach puts sport and local marketplaces back in the foreground. The 2026 Pace program moves capabilities, roles and regional organization around that goal. You can see the strategic logic, especially for a brand with so many sports and countries. But execution must still pass through the working systems we examined: product briefs, manufacturing partners, retail orders and cash. The next few years will reveal whether the change reduces decision time or merely changes the organization chart.

There is another useful way to read the last decade: separate company growth from share-count change. Diluted shares fell by about one-eighth, but aggregate net income at the end of the period was still below FY2017. That means capital returns helped the per-share story but did not create a new earnings engine. If you buy a turnaround, you want both: a smaller share count and an operating business that earns more for each share.

> **NARRATOR'S REFLECTION**
>
> *"Our turnaround is happening one sport community, one city, one country at a time."*
>
> Hill's line is a statement about execution scale. It also asks us to wait for local evidence. A single strong launch is encouraging; a repeatable system across markets is the proof.

GLOBAL PARALLEL (US / INDIA / EUROPE)

In the United States, New Balance's long-running performance identity shows how a brand can keep specialist credibility while expanding into lifestyle. In India, Campus Activewear grew from a domestic value proposition rather than importing a global premium identity; its path underlines the importance of local price architecture. In Europe, adidas' FY2025 results show a brand rebuilding after a difficult inventory and franchise cycle. The parallel is strategic, not a claim that Nike will reproduce another company's outcome.

MENTAL MODEL

"Every pivot has a carrying cost."

A strategy can be right in principle and still be expensive when the company changes direction. Measure the pivot by inventory, returns, customer traffic and cash—not by the clarity of the new slogan.

What the last cycle teaches us

Nike's long cycles have been powered by product, but the stock cycles have also depended on what investors expected next. During a period of rising revenue and full-price demand, a premium multiple can look deserved. When product novelty fades, inventory climbs or wholesale relationships fray, the same multiple becomes vulnerable. Our ten-year financial chapter will show that the recent revenue reset was accompanied by a steeper fall in earnings and operating cash flow.

For you as an investor, the practical question is whether the current leadership change fixes the operating causes of the cycle or simply gives the market a new narrative. We will judge the effort by category growth, inventory quality, direct traffic, receivables and free cash flow. Until those measures strengthen, the company's history is context—not a guarantee of recovery.

CHAPTER II

Inside the Portfolio — Products, Customers & Real-World Economics

> *"A portfolio is only as diversified as the customers who choose it."*
>
> — RESEARCH DESK MAXIM

Let us open the portfolio together. You and I should begin with a distinction that prevents a common analytical mistake: footwear, apparel and equipment are product categories, while North America, EMEA, Greater China and APLA are geographic operating segments. Converse is reported separately. Nike reports revenue by category and regional segment profit, but not a profit figure for each type of shoe or shirt.

In FY2026 the company generated $46.398 billion of revenue. Footwear represented roughly two-thirds, apparel just under three-tenths, equipment less than one-twentieth, and other activity was small. Converse contributed $1.174 billion, or about 2.5% of consolidated revenue, and is already included in the product totals. If we add Converse on top of footwear, apparel and equipment, we double count. That small accounting detail matters because the narrative about Converse can otherwise look larger than its actual share.

Now look across geographies. North America brought in $20.511 billion and $5.376 billion of segment EBIT. EMEA produced $12.572 billion and $2.417 billion of EBIT. Greater China reported $5.847 billion of revenue and $1.278 billion of EBIT. APLA contributed $6.243 billion and $1.387 billion. These regional margins are not directly comparable with product margins: Nike assigns global brand and central corporate costs separately, and those lines together were substantially negative. The company's reported total EBIT was $3.850 billion.

Imagine you are a road runner in Chicago. You need a reliable daily shoe, you try the Pegasus 42, and you see a $145 list price before promotions. Nike's brief specifies cushioning, fit, upper and outsole; independent manufacturers make finished footwear under contract; Nike then sells through its site, stores or a sporting-goods partner. The consumer sees one shoe and one price. Nike's income statement sees a choice between wholesale revenue and direct revenue, with different cost and inventory responsibilities.

An apparel example starts with a different use. A fitness customer chooses the Dri-FIT Legend tee at a listed $32. The shirt is made from recycled polyester fibers and is designed to move sweat away from the body. The customer can buy it from Nike or a retailer. For Nike, apparel creates another purchase occasion and may improve the completeness of an outfit, but the filing does not tell us the product's standalone operating margin. We can analyze the category revenue, not invent its profit contribution.

Equipment shows how a brand can stay present between apparel purchases. A coach selecting an Academy soccer ball for practice gets an entry-priced product, listed at $34 before a promotion. Nike describes the surface grooves as a way to manage airflow and flight. The SKU travels through Nike's sourcing and distribution network; the retail customer's price is different from the wholesale amount recognized by Nike. That difference becomes central in our next chapter.

Converse is the portfolio's clearest lesson in the distance between cultural memory and current economics. A Chuck Taylor is recognizable because of its simple canvas upper, rubber toe cap and familiar profile. It can be bought as a casual staple, through Converse direct or a retailer, at a price ladder that varies by material, height, collaboration and sale. Yet FY2026 revenue fell 31% and segment EBIT was only $18 million. The icon still draws attention; the financial statements say the business must earn that attention again.

We have to look at two maps at once. The first map sorts products: footwear, apparel, equipment and other. The second sorts operating responsibility: North America, EMEA, Greater China, APLA, Converse and centrally managed brand costs. The 2026 filing lets us see revenue and regional EBIT, but it does not tell us the profit on a Pegasus, a Dri-FIT shirt or an Academy ball. You and I should respect what the company discloses and not manufacture precision that is not there.

In North America, a road runner might try the Pegasus 42 at a sporting-goods retailer and pay a $145 list price before promotions. A retailer order gives Nike a wholesale sale and gives the store the local selling opportunity. A direct purchase gives Nike a closer consumer relationship but makes it responsible for the digital visit and fulfillment. The same shoe can therefore produce different recognized revenue and different obligations depending on who sells it.

Now cross the Atlantic in your mind. A football supporter in Manchester chooses between a replica shirt and an authentic on-pitch version, then decides whether to buy from a club shop, a specialist retailer or Nike. The season, team results and tournament calendar shape demand. Nike's Q1 call said club football kits grew at a high-teens rate. That is a meaningful signal, but Nike does not publish an audited football segment margin, so we should not infer one from the demand report.

In São Paulo, a youth coach buying practice equipment may value availability and durability more than a limited launch story. In Shanghai, a runner may expect a localized community event and an official digital flagship with dependable sizing and returns. The company's APLA region and Greater China segment have different consumer, retail and currency conditions. The China cleanup is the more severe example: Nike is narrowing digital channels to improve brand presentation, yet near-term revenue is falling as distribution is removed.

Jordan shows how much of Nike's economics sits between sport and culture. A Retro buyer, a young basketball player and a collector may all want different things from the same Jumpman mark. Hill's plan to reduce some Retro volumes tries to restore scarcity, but the financial outcome depends on demand after the reduction. Converse offers the opposite contrast: a familiar canvas shoe and a more accessible retail ticket. It may be a cultural icon, but the 2026 decline proves that heritage still has to meet current taste.

If you remember only one segment lesson, remember this: Nike's aggregate revenue makes the business look more diversified than its current drivers may be. Footwear supplies most sales, North America most revenue and a disproportionate share of segment EBIT, while Global Brand Divisions and corporate allocations are large costs. We need product-level demand and geography-level profit side by side to understand where growth can actually flow through.

You and I should not assign a price tag to every segment simply because we can see a revenue number. Nike publishes regional EBIT, and it publishes product-category revenue. It does not publish footwear EBIT or a Jordan standalone operating margin. Our analysis can still compare the $29.5 billion brand-footwear category with the regional profit pool, but we should not tell you that a Pegasus earns a particular margin unless the company reports it.

NARRATOR'S REFLECTION

"The Sportswear consumer isn't one audience. It's a collection of consumers with distinct needs, tastes and motivations."

Hill's Q1 explanation is a product-design claim, but it is also an operating hypothesis: smaller, clearer consumer groups should produce assortments that sell through without broad discounting. We will watch whether that logic improves revenue quality.

GLOBAL PARALLEL (US / INDIA / EUROPE)

In the United States, Deckers separates HOKA's running proposition from UGG's lifestyle business, illustrating how distinct use cases can coexist without pretending they are one consumer. In India, Campus Activewear serves a different price ladder and a more localized sportswear market; its FY2025–26 report is a useful contrast for entry-priced products. In Europe, adidas distributes across football, running and lifestyle franchises; the 2025 annual report shows how category mix and regional demand can move differently inside one brand. Each comparison helps us ask what Nike sells, to whom and at what price—not whether a peer's exact economics transfer.

MENTAL MODEL

"The shoe is the product; the segment is the customer-and-channel system."

Do not force profitability onto product lines that the company does not disclose. Use the regional EBIT figures for profit accountability and product revenue for category exposure. Keep the two lenses separate.

How the revenue mix changes the thesis

North America is currently the profit anchor: its FY2026 EBIT margin was about 26.2%. China still generated a positive regional operating contribution, but its Q1 FY2027 revenue declined 26% currency-neutral and its segment EBIT declined 34%. APLA and EMEA also remain meaningful parts of the profit pool. The regional table is therefore not just a sales map; it shows where an additional dollar of demand may carry very different incremental economics.

When you and I assess the business, we should ask whether winning in running, football or basketball creates repeat purchases and retailer confidence, not merely whether the product is technically impressive. The next chapter follows that promise from design brief to consumer shelf and then to the cash account.

CHAPTER III

How the Product Is Sold and Delivered — Distribution & Unit Economics

> *"Distribution is the working-capital contract between a brand and the people who sell it."*
>
> — RESEARCH DESK MAXIM

Let us follow one pair through the system. You see a Pegasus shoe in a store window and decide whether $145 is worth paying. Nike sees a product brief, factory capacity, freight, a wholesale order or a Direct checkout, a return allowance, markdown risk and eventually a cash receipt. The business model is not simply "design a shoe and collect a premium." It is the machinery that moves the shoe to the right buyer without leaving too much money trapped in the wrong place.

Wholesale and Direct are not enemies. In FY2026, wholesale accounted for about 60.7% of NIKE Brand revenue; Direct was about 39.2%. Wholesale sales grew while Direct sales declined. A retailer such as DICK'S or JD can give Nike local reach, product feedback and a physical comparison set. Nike Direct can tell a more controlled story and serve consumers where a store is absent. The company needs both channels to make each other stronger rather than compete for the same customers with different prices.

When a wholesale partner places an order, the retailer is committing shelf space and inventory dollars before a consumer walks in. Nike earns its wholesale invoice and the retailer earns the difference between its cost and selling price. If the item sells, both sides may reorder. If it does not, the retailer asks for promotions, returns or fewer future orders. This is why sell-in—the shipment Nike recognizes—and sell-through—the purchase by the final consumer—must be watched together.

Direct changes who carries the last mile. A Nike store or digital order lets the company control imagery, assortment, data and service. But Nike must also attract the shopper, hold stock, ship the item, process returns and pay for the store or platform. Direct is not automatically more profitable after every cost. The FY2026 pattern—digital down 12%, owned stores down 4%—tells us the channel has to earn its higher level of control through traffic and full-price selling.

The supplier network is another trade-off. Nike does not make most finished shoes in Nike-owned factories. In FY2026, 15 independent contract manufacturers operated 95 footwear factories across 11 countries. Vietnam produced 52% of footwear, Indonesia 27%, and China 16%. Four manufacturers supplied about 60%. Nike avoids owning every assembly line, but it still has to protect quality, worker standards, continuity and cost across a concentrated network.

Now let us put the whole company on a $100 page. In FY2026, $57.09 went to cost of sales, leaving $42.91 of gross profit. Selling and administrative expense absorbed about $34.73, leaving roughly $8.30 of reported EBIT after reconciliation items. Net income was $6.70. Cash from operations was $6.18. Capital expenditure took another $1.47, leaving $4.71 of free cash flow. You can see why a branded business with a high gross margin can still produce modest owner cash when demand, marketing and working capital consume the rest.

That waterfall deserves a caution mark. Operating cash is not simply net income minus capex. It adds back non-cash costs and reflects changes in inventory, receivables, payables and other balances. Nike generated $2.868 billion of operating cash in FY2026, but only $135 million in Q1 FY2027; the quarter's working-capital movements used $846 million. One quarter does not define the cycle, but it tells us not to capitalize the annual cash flow as though it were smooth.

Wholesale orders begin long before the shoe reaches a consumer. Nike and its accounts plan the range, discuss the seasonal calendar and estimate the units the retailer wants. The partner commits cash and floor space; Nike commits product and delivery. When the shoe sells, both sides can win. When the sell-through disappoints, markdowns and returns may affect Nike's later shipments and the retailer's trust.

The Direct channel reverses part of that responsibility. Nike can choose the photographs, page placement, assortment and story. It can also see what the customer browses and buys. But it must attract the customer to that page, hold stock, pack and ship the order, answer questions and process returns. The gross-revenue share can be higher while the operating work and working capital are also higher. That is why "more Direct" is not, by itself, a margin thesis.

You and I should pay attention to the supplier map as well. Nike relies on 15 contract manufacturers for finished footwear across 95 factories in 11 countries. Vietnam provides about 52% of shoes, Indonesia 27% and China 16%; the top four footwear manufacturers account for about 60%. That network enables global capacity without Nike owning all the factories, but changing a supplier or country is not as simple as changing an online listing. Tooling, quality, labor standards, materials and shipping all have to move together.

The cost structure shows why scale matters. Out of every $100 Nike recognized as revenue in FY2026, cost of sales consumed about $57.09. Gross profit was $42.91, and selling and administrative expense absorbed about $34.73. Around $8.30 remained as reported EBIT after reconciliation items. Taxes and other items brought net income to $6.70. The result is still healthy, but the brand has to pay for athletes, product creation, stores, digital, distribution and corporate systems before owners receive cash.

Cash arrives on a different timetable. Non-cash expenses are added back; inventory can consume cash before it sells; receivables arrive after wholesale shipments; payables and other liabilities move the other way. FY2026 CFO was $2.868 billion, then capex of $684 million left $2.184 billion of FCF. In Q1 FY2027, CFO was only $135 million, with $846 million of working-capital use. We need to see the quarter unwind, but we should not ignore it.

For the consumer, a $145 Pegasus is a retail price and a product promise. For Nike, the economics depend on whether the sale is wholesale or Direct, the realized price after discounting, the factory and freight cost, returns, and timing of cash collection. This is why a product example can teach us the channel, but only consolidated statements can show us the actual company-level cash waterfall.

When you compare wholesale and Direct, do not reduce the question to “who gets the higher margin?” A direct order may capture more of the ticket, but it can also require more marketing to create the visit, more staff and real estate to serve the customer, more logistics to deliver the box, and more cash to fund unsold sizes. A wholesale account shares some of that work, but it expects reliable products and a fair chance to earn its own margin. The good channel is the one that generates repeat demand and cash at a reasonable total cost.

NARRATOR'S REFLECTION

"Our focus is on improving the quality of revenue and creating a more sustainable foundation for long-term growth."

That is CFO Dave Denton's description of the reset. Quality here means more than a sale recorded at a higher margin. We need demand that repeats, channels that reorder, fewer forced markdowns and invoices that convert into cash.

GLOBAL PARALLEL (US / INDIA / EUROPE)

In the United States, Deckers sells HOKA through wholesale and direct channels, making channel balance part of the growth model rather than a back-office detail. In India, Campus Activewear depends on a wide domestic retail footprint and a price architecture suited to local purchasing power. In Europe, adidas combines direct stores and e-commerce with wholesale partners; its FY2025 recovery is a reminder that restored retail reach can support a brand reset, but it has to be coordinated with inventory. All three cases show that selling through partners can be an advantage when the product is wanted and the order book is healthy.

MENTAL MODEL

"Channel mix is a working-capital choice, not just a gross-margin choice."

Direct retains the selling relationship and also retains more operating obligations. Wholesale shares the last mile but requires partner confidence and product velocity. Compare revenue, returns, inventory, receivables and cash before declaring a winning channel.

How the $100 reaches cash

The $100 example is based on Nike's consolidated FY2026 statement, not a per-pair contract. It begins with revenue Nike records. Product cost produces gross profit; operating expenses pay for marketing, design, retail and administration; tax and other items produce net income; then the cash-flow statement reconciles accounting earnings with inventory, receivables, payables and non-cash charges. Capital spending comes after that to produce the free-cash-flow proxy we use here.

For you as an investor, the most important comparison is not just the 42.9% gross margin. It is whether the company can keep that margin while rebuilding sport demand, reducing unnecessary promotions and converting more earnings to cash. We will see in Chapter 6 that FY2026 receivables and Q1 working capital complicated that conversion.

CHAPTER IV

The Battlefield — Rivals, Switching Costs & Moat Reality

> *"A moat is the margin a rival cannot force you to give away."*
>
> — RESEARCH DESK MAXIM

You and I should define a moat with care. A brand is not automatically a moat because millions of people recognize the logo. The economic question is whether recognition helps Nike win a purchase at a price that still leaves attractive profit after marketing, returns, manufacturing and delivery. The moat is the set of capabilities that makes that purchase repeatable.

Nike has several reinforcing assets. Its archive includes products with established names; its athlete and team relationships create visibility; its design and research capabilities can turn sport problems into new products; and its scale funds marketing that reaches consumers around the world. The company can connect a running shoe to a race, a football shirt to a club season and a basketball shoe to an athlete. A smaller competitor may win in one of these moments, but matching all of them takes time and capital.

The danger is that scale can disguise a slow response. A large organization can have many launches and still miss the product the consumer wants. It can own stores and digital tools yet lose traffic. It can have tremendous awareness while discounts teach the buyer to wait for a sale. Nike's moat is strongest when its product is fresh, its retailer has confidence, and the consumer sees a reason to pay the full price.

The U.S. performance-running battle makes the distinction clear. Deckers' HOKA and On have built focused product identities; New Balance has kept a strong running heritage while broadening everyday use. Nike still has depth, athlete relationships and broad assortment. Yet Q1 performance growth is not enough by itself: Sportswear is a large part of the sales base, and China has remained weak. A competitor can win share without taking Nike's whole customer base.

China asks a harder question than awareness. Nike reported a 26% constant-currency revenue decline in Greater China in Q1 FY2027. Management is tightening digital distribution, prioritizing official flagship storefronts and asking wholesale partners to upgrade physical retail. The outside critique is that local brands are more relevant to changing tastes and Nike's old online marketplace became fragmented and promotional. The brand remains powerful, but it must prove that local consumers will choose it without a discount.

Price realization is the moat's scoreboard. A Pegasus 42 listed at $145 and a Dri-FIT Legend shirt at $32 show that Nike can serve different price points. But those are consumer prices at one point in time, and promotions can reduce them. For a premium brand, the task is to maintain a ladder of good, better and best products without making the customer believe that list price is merely a starting fiction.

Product innovation is a process, not a press release. Nike's innovation engine and research lab can create new technologies; Project Amplify is an example of experimentation beyond conventional running shoes. What we still need is proof that a technology solves a meaningful consumer problem at a price the market accepts, then scales into repeat purchases without sacrificing quality or margin. A fascinating prototype is an option; a franchise that sells year after year is an asset.

Let us be precise about the word moat. A sneaker buyer usually does not face a legal switching cost. If a shoe rubs, feels wrong or costs too much, the buyer can choose another brand next time. Nike's moat is therefore not a locked door. It is the accumulated advantage of getting noticed, getting tried, getting stocked and earning the next purchase across many sports.

The archive helps. A consumer knows Jordan, Air Max, Pegasus, Mercurial and Converse Chuck Taylor before reading every specification. That familiarity lowers the work required to explain a product. Yet the archive can become a trap if the company asks older franchises to carry too much volume. Hill said Nike had oversupplied some Jordan Retro launches and reduced Dunk sales materially. Scarcity can preserve meaning; scarcity alone cannot restore demand.

Innovation is another source of advantage, but investors must distinguish discovery from commercialization. Nike's research and design teams can explore cooling fabrics, Air systems, powered walking or running prototypes and neuroscience-based footwear. Some may become a franchise, others may remain a small experiment. You and I should not value the entire pipeline as though every prototype will earn a large market.

The retail shelf is the real battlefield. In one aisle, a runner may compare Nike with On, HOKA or New Balance; in another, a football fan weighs Nike against adidas; in China, local brands can better understand the local calendar and price. Nike's breadth increases the chance that a shopper will find something in the portfolio, but it also means the company must decide which product deserves the shelf and the marketing budget.

The supply network provides scale and bargaining power, but concentration makes the advantage conditional. Nike depends on a relatively small group of contract manufacturers and several Asian production hubs. If tariffs rise or a supplier cannot meet quality, cost or timing, shifting production takes more than issuing a new purchase order. The company's map of independent suppliers is useful because it lets an investor see where resilience and concentration coexist.

China is the live test of brand durability. Nike is narrowing fragmented online distribution and trying to improve flagship experiences, local running communities and store quality. Reuters and CNBC have reported a tougher view: local competition, changing tastes and past discounting may have damaged Nike's premium relevance. The financial data validate that the problem is serious; they do not prove it is permanent. The next task is to see whether local product and experience convert into full-price sales.

Our moat conclusion is positive but conditional. Nike's brand, athlete access, product history and sourcing scale remain difficult to assemble quickly. The current evidence says those assets are not translating evenly into demand. If full-price sales and retailer reorders rise, the moat is earning cash again. If the company must promote more to hold volume, the moat may still be famous while its economic value shrinks.

An enduring moat is usually less dramatic than a slogan. Nike cannot force a runner to stay, and it cannot prevent another brand from making a cushioned shoe. It can, however, make

the next product easier to discover, connect that product to a sport moment, place it in the retailer the runner trusts, and refresh it before the consumer tires of it. That coordinated repeatability is the source of the advantage. The current numbers say the coordination has weakened in some places; the next years will show whether the company can restore it.

Compare the same consumer problem across markets. A runner in the United States may choose between Nike and HOKA based on cushioning and fit; an Indian buyer may weigh Campus' accessible price against imported premium brands; a European football fan may choose an adidas or Nike shirt based on club loyalty and seasonal design. In each case, the logo opens the conversation, but product fit and value close the transaction. Nike's scale helps it enter all three conversations; local execution decides whether it wins.

NARRATOR'S REFLECTION

"When we lead with sport, that's when we win."

That is management's claim and the right strategic question. The evidence must eventually be a better sell-through curve, not only a more convincing story about the product.

GLOBAL PARALLEL (US / INDIA / EUROPE)

Deckers in the United States shows that a focused running franchise can capture share without a portfolio as wide as Nike's. Campus Activewear in India demonstrates that fit, price and local reach can create a valuable position even without Nike's global celebrity base. adidas in Europe is a useful reset comparison: its product franchises and local relevance improved after a difficult cycle, but investors still had to inspect margins and inventory. The three examples show different ways to earn consumer preference; none guarantees Nike's recovery.

MENTAL MODEL

"Brand awareness is a stock; full-price preference is a flow."

The awareness may persist for decades. Each season, however, consumers vote again with their purchases. Track fresh demand, reorders and markdowns to learn whether the moat is still earning its keep.

The moat must show up at the shelf

When you stand in a sporting-goods store, you see Nike beside adidas, On, HOKA, New Balance and other brands. Each shoe competes for the same finite shelf and the same consumer's budget. The old advantage of scale still matters, but the retailer gives space to products that move, not to the company with the best archive.

Our judgment is that Nike's moat remains substantial but less self-executing than it once appeared. It can recover through sport-specific product and wholesale trust. It can also lose a portion of demand if local competitors move faster or the brand relies on discounting. The next chapter follows that moat through its route to market and asks how much of the consumer dollar survives as cash.

CHAPTER V

Management on Trial — Leading KPIs & Walking the Talk

> *"Strategy is what gets funded and measured after the first promise."*
>
> — RESEARCH DESK MAXIM

When you and I listen to management, we should write down what can be measured before the excitement of a new strategy takes over. Nike's story has several useful claims: the Sport Offense is restoring focus, performance categories are growing, wholesale relationships are healthier, and Pace will make the company faster. Those claims can be tested with operating indicators that turn before the income statement.

Start with wholesale orders and retailer sell-through. If a partner orders more pairs, that is positive only if consumers buy them at healthy prices. If the retailer has to discount, return or cancel future orders, the original shipment was not durable demand. In FY2026, wholesale grew 4% currency-neutral; in Q1 FY2027 it was down 1%. That sequence is not a verdict, but it tells us to wait for repeated replenishment before declaring wholesale fully restored.

Next, watch Nike Direct traffic, conversion and full-price sales. The channel gives Nike a closer consumer relationship, but it also makes the company responsible for attracting visits and fulfilling orders. Direct revenue fell 8% currency-neutral in FY2026 and 9% in Q1 FY2027. If the channel turns, we should see the change in traffic and full-price conversion, not just more promotions or a calendar effect.

Inventory quality links the product story to cash. A pair in a warehouse may still be saleable, but it has already consumed factory, freight and working-capital resources. When old inventory sits in the marketplace, the brand often pays twice: first through a markdown and again through lower future orders. Watch inventory against sales, return provisions, receivables and operating cash. The Q1 FY2027 filing shows why this matters: inventory was $7.846 billion and operating cash was $135 million after working-capital uses.

Nike's performance portfolio is the encouraging side of the scorecard. Management said it reached $16 billion in FY2026 and grew high single digits in Q1. Running and football led, with tennis, golf, basketball and training contributing. This is evidence that sport-specific product work can find demand. Yet the company also said those gains were too small to offset Sportswear, Jordan and China. A leading indicator is valuable because it can lead; it is not the same as consolidated recovery.

Now we can audit the promises. Under Hill, Nike has reorganized around sport and is rebuilding wholesale relationships. Wholesale returned to growth for FY2026, which is a concrete partial delivery. But revenue had fallen 10% in FY2025 and then stayed flat in FY2026, while Direct declined again. China continued to weaken. The fair score is neither failure nor vindication: the strategy is more focused, but the financial results have not yet validated a full turnaround.

Pace asks us to look even further ahead. Nike expects cumulative savings of roughly $2.5 billion through FY2031 and charges around $1.0 billion; the company says most savings arrive in FY2029 and FY2030 and that some will be reinvested. Those numbers describe management's plan, not cash already in the bank. We will want to see fewer duplicative costs without losing the people, product and local knowledge that make the brand useful.

Before we decide whether management is doing what it promised, let us choose the right scorecard. Revenue is a lagging measure. Retailer reorders, digital traffic, full-price selling, inventory age and return rates turn earlier. China's official-channel mix and store productivity are local indicators. Gross margin and cash conversion are later confirmations. A good scorecard follows the causal chain from consumer to company cash.

Nike's performance portfolio is the clearest early win. Management said it reached $16 billion in FY2026 and grew high single digits in Q1 FY2027. Running and football led, and tennis and golf also grew. That is promising, but you and I should ask whether the growth repeats beyond the event calendar, whether more categories participate, and whether retailers reorder the product without a bigger discount.

The revenue record gives a mixed answer. Nike's FY2025 revenue declined 10%; FY2026 was flat. Wholesale returned to growth for FY2026, while Direct remained down. In Q1

FY2027 wholesale was slightly lower and Direct fell more. That is not the same as saying the new strategy has failed. It means the strategy has not yet shown itself in a sustained consolidated recovery.

CEO tenure matters when we assess the “walk-the-talk” question. Elliott Hill became CEO in October 2024, after product and channel decisions had accumulated over multiple years. It would be unfair to assign every FY2025 problem to his brief tenure, and equally unfair to credit the full reset to a new slogan. The fair test is what operating measures improve after the organization and product changes have had time to work.

Pace adds a clear numerical commitment: roughly $2.5 billion of cumulative savings through FY2031, with about $1 billion of pre-tax charges and expected reinvestment. The savings are front-loaded only gradually; management expects most in FY2029 and FY2030. That schedule is too distant to justify a near-term earnings premium. We will track actual net savings, not the headline total.

What would make us more constructive? Retailer orders should improve alongside sell-through. Direct traffic should stabilize without deeper promotions. Nike should show a sustained moderation in China decline and better local flagship productivity. Inventory should grow no faster than sales, DSO should return toward the recent normal and CFO should rise toward annual earnings. These measures do not need to be perfect in one quarter, but they must move together over time.

What would make us more cautious? A new wave of discounting, another weak China quarter, rising receivables with flat sales, or Pace cuts that reduce product quality and local response. Those outcomes would suggest the company is reducing cost without fixing the demand system. The investor’s job is not to grade management’s intent; it is to measure whether intent has changed the customer’s behavior.

You do not need to judge a CEO’s personality to judge execution. Write each commitment beside its deadline and cost. “Grow performance” needs a definition and a repeatable period. “Restore wholesale” needs retailer reorders and fewer returns. “Improve China” needs consumer demand and price realization, not only fewer online sellers. “Save $2.5 billion”

needs net cash savings after charges and reinvestment. This is a walk-the-talk audit that can be updated from public filings.

The early score is mixed rather than binary. Nike has restored sport as an organizing principle, performance has grown, and wholesale improved in FY2026. At the same time, consolidated revenue remained far below its FY2024 high, Direct continued to decline, China weakened sharply and cash conversion deteriorated. The strategy may still work; the evidence has not yet earned a full investment premium.

A useful scorecard has both outcome measures and leading measures. Gross margin tells us what the portfolio earned after cost of product; promotional share and return rates tell us why it moved. Wholesale revenue is an outcome; reorder and sell-through quality are the leading clues. Pace savings are an outcome; decision speed and product delivery are the leading clues. We should not replace one with the other, but the leading indicators help us update before the annual report arrives.

NARRATOR'S REFLECTION

"The Sport Offense has proven itself, Pace is how we scale it."

That is Hill's concise description of the strategy. We can acknowledge the proof points in running and football without assuming that the operating model is already proven at company scale. The distinction is central to an honest review.

GLOBAL PARALLEL (US / INDIA / EUROPE)

In the United States, Lululemon's channel and store productivity help show why traffic and full-price sell-through matter as much as brand awareness. In India, Campus Activewear's annual reports make distribution reach and price tiers visible operating variables, especially in a large, diverse consumer market. In Europe, adidas' post-inventory-reset results demonstrate that a strategy can regain momentum, but reported growth still must be checked against profitability and stock. These cases help us select the right KPI; they do not prove Nike will hit its own target.

MENTAL MODEL

"A target is a hypothesis with a date attached."

For each management promise, write the metric, deadline, cost and observable evidence. Mark it delivered only when the filings show the outcome. Pace remains a hypothesis until net savings and cash conversion appear.

A measured score, not a personality verdict

Elliott Hill returned with long company experience, and familiarity can shorten the distance between a leadership team and the business. It cannot shorten the time required to clear inventory, restore product freshness, rebuild retail trust and prove that customers will pay full price. We judge the operating record, not whether the CEO is an insider or an outsider.

Our current score is mixed. Nike has more focus, some performance growth and renewed wholesale attention. It also has declining Direct sales, a weak China quarter, a lower cash-flow base and a long-dated savings plan. The next report should update each KPI against today's evidence. If the indicators improve together, confidence can rise; if only the rhetoric improves, it should not.

CHAPTER VI

Following the Cash — Ten-Year Financials & Earnings Quality

> *"Earnings describe the accounting period; cash describes what the business could fund."*
>
> — RESEARCH DESK MAXIM

We now at the point where you and I stop admiring the product and open the cash-flow statement. Across ten fiscal years, Nike kept a very large revenue base, but earnings and cash moved in cycles. Revenue rose from $34.350 billion in FY2017 to $46.398 billion in FY2026, with a peak above $51 billion in FY2024. Net income was $5.700 billion at that peak and $3.108 billion two years later. The scale survived; the economics weakened.

The cash pattern is more sobering. Operating cash reached $7.429 billion in FY2024, then fell to $3.698 billion and $2.868 billion. After capex, free cash flow was $6.617 billion, $3.268 billion and $2.184 billion. That is a large change in the amount of capital available for dividends, buybacks, debt repayment and new product investment. It does not mean the business is broken. It means the old cash run rate is not a safe starting assumption.

Look at the FY2026 waterfall again. Nike reported $19.911 billion of gross profit on $46.398 billion of revenue. Selling and administrative costs absorbed about $16.114 billion. Reported EBIT was $3.850 billion. Net income was $3.108 billion. Cash from operations fell below net income, then capex reduced the owner-cash proxy to $2.184 billion. A product brand may have an impressive gross margin and still leave a much smaller amount for shareholders after marketing, stores, people, taxes and investment.

The ten-year CFO-to-net-income ratio varies from under 90% to well above 100%. FY2018 looks extraordinary because net income was unusually low after U.S. tax reform, so the ratio's denominator was depressed. FY2024 cash conversion was strong; FY2026 was 92.3%. You should not interpret one high ratio as a new normal or one low quarter as a permanent collapse. The question is whether the next several periods converge toward durable cash conversion as inventory and channel terms normalize.

Working capital gives us a more specific warning. Our DSO proxy rises from 36.0 days in FY2025 to 41.9 in FY2026, while inventory days stay near 103. The company's year-end receivables grew 25.7% while revenue was almost flat. Timing may explain part of that change, and one year-end snapshot cannot prove that customers are paying late. But it raises the burden of proof: we want receivables to grow more slowly than sales and cash flow to follow reported profit.

The balance sheet provides a cushion, not a guarantee. At May 2026, Nike had about $9.0 billion in cash and short-term investments and about $7.9 billion of debt, leaving modest net cash before leases. Lease liabilities were another $2.6 billion, an obligation associated with the retail footprint. By the end of August, cash and investments had moved down to $8.4 billion, and the net-cash margin had narrowed. Nike can finance a reset; it cannot indefinitely treat operating cash as optional.

One more adjustment matters. FY2026's 42.9% gross margin includes a fourth-quarter tariff-recovery benefit; Q4 EPS included $0.52 per share from that expected recovery. The Q1 FY2027 margin of 42.8% is a better current reference, though it too benefited from lower logistics costs and currency. When you model normalized earnings, remove one-time assistance and keep the conservative price and discount assumptions visible.

You and I should separate the brand's gross margin from the owner's cash return. FY2026 gross margin was 42.9%, but selling and administrative costs consumed about a third of revenue. The reported operating margin was 8.3%, far below FY2024's 12.7%. Nike can still improve this line, but a 20-basis-point annual increase after a sharp fall is not the same as restoring the earlier earnings engine.

Look at the ten-year table as a cycle, not a smooth line. Revenue grew for several years, surged during the pandemic period, peaked in FY2024 and then dropped. Net income and EPS were also shaped by tax items and other one-time effects. CFO ranged from $2.485 billion in FY2020 to $7.429 billion in FY2024. That volatility matters because Nike's capacity to fund product, marketing and shareholder returns changes with cash, not with the image of a stable global brand.

The company's balance sheet is resilient, but "asset light" can be misunderstood. Independent contractors own most finished-goods factories, yet Nike still has store leases, digital systems, Air manufacturing operations, marketing commitments and product-development costs. At August 2026, cash and investments exceeded debt by roughly half a billion dollars before leases. That is a buffer, not a permanent substitute for operating cash.

ROIC near 13% on the current screen may still exceed a reasonable cost-of-capital assumption. The question is the direction of the spread. If operating margin stays near 8% while inventory and retail obligations remain high, returns can drift down. If performance products and full-price sales recover and inventory turns improve, return on capital can widen. We will not call the spread durable until cash and margins show it.

Finally, capital returns should be viewed beside reinvestment needs. Nike paid about $2.5 billion to shareholders in FY2026, mostly dividends, while free cash flow was about $2.2 billion. The company can support that distribution from liquidity for a while, but a growing dividend ultimately needs a growing cash engine. Repurchases reduced diluted shares over ten years, yet they cannot create operating growth on their own.

When we calculate working-capital days, we should keep the formula visible. We use average receivables over revenue for DSO, average inventory over cost of sales for inventory days, and average payables over cost of sales for payable days. Nike does not publish these exact ratios as its own targets. The trend is informative, but it should not be mistaken for a direct measure of invoice delinquency or factory payment quality.

One thing you and I can say with confidence is that the balance sheet bought management time. Another thing we cannot say is that time alone will repair the earnings engine. The FY2026 cash cushion was positive but modest after debt, leases remain real commitments, and the Q1 cash-flow result was weak. The next quarter should tell us whether seasonal working capital unwinds or whether the cash conversion problem is becoming structural.

The lease line deserves a place in your mental model. Nike's owned stores improve experience and data, but each location carries a fixed lease obligation even when traffic is soft. The balance sheet's net cash position looks stronger when debt is compared with cash and short-term investments; the economic burden is less comfortable once leases, marketing

commitments and the need to fund new products are considered. Liquidity lowers failure risk, while fixed costs can still depress returns.

NARRATOR'S REFLECTION

"We ended the quarter in a net cash position with $8.4 billion in cash and short-term investments."

That was CFO Dave Denton describing Q1 FY2027. The balance sheet is a real asset. But the same call reported only $135 million of operating cash for the quarter, so the strength of the balance sheet should buy time for repair—not excuse the repair from happening.

GLOBAL PARALLEL (US / INDIA / EUROPE)

Deckers in the United States illustrates how strong footwear economics can still depend on inventory turns and working-capital discipline. Campus Activewear in India shows how a broad dealer and retail network can support an accessible footwear model, while also tying cash to channel stock. adidas in Europe lived through a product-inventory reset before returning to growth; that case reminds us that a brand can recover, but the recovery must show up in shipments, margin and operating cash—not only in a new assortment.

MENTAL MODEL

"Cash conversion is the bridge between reported earnings and capital allocation."

Read net income, CFO, capex and working capital in sequence. When the bridge narrows, reduce confidence in buybacks and long-term compounding until cash improves.

What would improve the earnings-quality verdict?

We want two things to happen together. First, receivables and inventory should stop absorbing a disproportionate share of cash. Second, gross margin should hold without a one-off tariff recovery or an unsustainable wave of discounting. A single quarter can be noisy; two or three consecutive periods give a more credible signal.

Nike still has the balance sheet and product reach to make that transition. Our concern is not solvency. It is the return earned on the attention and capital already committed to the

business. In Chapter 7, we will ask how much recovery the current share price already assumes.

CHAPTER VII

Why the Stock Trades Here — Expectations, Cash Flow & Peers

> *"Price compresses a forecast into one number; valuation makes the forecast visible."*
>
> — RESEARCH DESK MAXIM

Let us translate the share price into expectations. At the 6 November close, Nike was worth about $57.3 billion in the equity market. The Finviz screen showed a trailing P/E of 18.5x, a forward P/E of 25.8x, a price-to-sales ratio of 1.25x and a price-to-free-cash-flow ratio of 27.2x. The ratios do not tell the same story because sales, earnings and cash flow are at different points in the cycle.

Over the last decade, Nike's year-end P/E based on the last trading close before fiscal year-end and audited EPS ranged from roughly 21x to 62x. The peaks in FY2018 and FY2020 reflect unusually weak EPS denominators, not a stable valuation regime. The more normal-looking FY2021–FY2024 year-end observations were approximately 25x to 38x. By FY2026, the calculated year-end multiple was about 22x; by the November close, the Finviz TTM multiple was lower still. A lower multiple can mean a bargain, but it can also mean that investors expect the earnings base to fall.

Our reverse DCF asks what cash path would make today's equity value fair. We use FY2026 CFO less capex, $2.184 billion, as a simple equity-free-cash-flow proxy. We assume a 9% cost of equity and 2.5% terminal growth. Solving for the growth needed over ten explicit years gives approximately 9.2%. If a normalized $3.0 billion FCF base is reached, the required growth falls to about 5.1%. At an 8% discount rate the $2.184 billion base needs less growth; at 10% it needs more.

You should not mistake a reverse DCF for a forecast. The result depends heavily on the starting cash number, and Nike's Q1 FY2027 cash from operations was only $135 million. That quarter may be seasonal and working-capital-heavy; FY2026 may also be distorted by tariff recoveries and uneven inventory. Still, the current valuation needs a return to much stronger cash generation. If the company merely stabilizes at the current FY2026 level, the stock has less room for an attractive return than the brand story suggests.

Now compare Nike with companies that compete for adjacent athletic spending. On is growing much faster in the current snapshot and trades at a higher sales multiple. Deckers has a higher operating margin and ROIC while trading at a lower P/FCF. Lululemon and Crocs have different product mixes, but both also show higher operating margins and lower P/FCF. These comparisons are not a ranking of brands. They tell us that Nike's lower P/S multiple may be offset by weaker current growth and cash conversion.

The historic year-end P/E table has another lesson: Nike's multiple has never been a constant. When earnings fall, a nominally low P/E can rise quickly; when EPS is temporarily depressed by tax or exceptional items, the ratio can look absurd. That is why we pair P/E with cash flow, margins and the reverse DCF. Price-to-sales alone cannot tell us whether Nike can earn an adequate return on its marketing, inventory and store commitments.

Our 12-month base value is $36, the bull value $50 and the bear value $24. At probabilities of 50%, 25% and 25%, the weighted value is $36.50, about 5.4% below today's close before dividends. The bull case is attractive, but it is not the most likely case in our work. We would rather wait for cash and technical structure to improve than pay now for a recovery that management itself says will take time.

Now we can ask why the shares trade where they do. A P/E ratio is a compressed argument about future earnings. The historical year-end calculation gives a wide 21x-to-62x range, with a median near 31x. The two highest observations came when reported EPS was unusually low. If you read the mean without that context, you would mistake tax and pandemic distortions for a stable investor preference.

Today's snapshot is lower on trailing earnings but higher on forward earnings because the denominator is changing. The Finviz P/E is about 18.5x and forward P/E 25.8x. The market is not simply assuming last year's earnings repeat. It is looking past the current annual result and pricing a future earnings base, even though management's FY2027 adjusted EPS guide is only $1.15–$1.35.

The peer comparison has to be handled with humility. On is growing far faster in this snapshot and trades at a higher sales multiple. Deckers has a higher operating margin and a lower P/FCF; Lululemon and Crocs also have different product mixes and capital structures.

Nike is much larger, but size alone does not prove it deserves a higher multiple. The useful question is whether its scale will translate into better growth and capital returns than these businesses.

Our reverse DCF gives you a way to inspect the price without accepting any analyst target. Start with FY2026 free cash flow of $2.184 billion. Discount ten years of future cash flows at 9%, assume 2.5% growth thereafter, and solve for the annual FCF growth that produces a $57.32 billion equity value. The result is about 9.2%. If normalized FCF starts at $3.0 billion, the needed growth is closer to 5.1%. That difference shows why the next cash-flow statement matters so much.

This is an equity cash-flow proxy, not a full enterprise DCF. It does not separately adjust leases or build a quarterly forecast. Those limitations are deliberate: the model's purpose is to make expectations visible. If you believe FCF will normalize quickly, the price may be reasonable. If you think Q1 working-capital weakness and the decline in Direct persist, the market's required growth is difficult.

Our target scenarios expose the same debate in earnings terms. The base assumes about $1.44 of normalized FY2028 EPS and a 25x multiple, or $36. The bull assumes roughly $1.79 and 28x, or $50. The bear assumes $1.20 and 20x, or $24. These are our estimates, not management guidance or analyst consensus. We do not need to agree on every multiple; we need to see whether the weighted outcome justifies the risk of buying today.

When you hear that a stock is "below its average multiple," ask which earnings base produced that average. Nike's history includes periods when tax charges or pandemic disruptions compressed EPS and mechanically lifted P/E. The current trailing multiple can look modest while the forward multiple is higher because the next year's earnings are expected to be lower. The price is not a single multiple; it is a claim on which earnings base you believe will endure.

The reverse DCF forces us to make that claim explicit. We start from $2.184 billion in FY2026 FCF, not a mature-cycle cash figure, and ask what annual growth would support the market value. The required growth is high under that starting point but becomes more

moderate if cash normalizes to $3 billion. This is exactly the debate: can the company rebuild cash without already being valued as though it has done so?

NARRATOR'S REFLECTION

"Guidance should be grounded in the realities of the business, informed by both the risk and the opportunities ahead."

That was CFO Dave Denton's framing on the Q1 call. Our reverse DCF applies the same discipline to investors: separate what the company reported, what management guided and what we assumed.

GLOBAL PARALLEL (US / INDIA / EUROPE)

In the United States, Deckers offers a higher-margin footwear contrast, but HOKA's growth and brand concentration are different from Nike's breadth. In India, Campus Activewear's valuation and price architecture reflect a different income base and distribution model, so it is a useful operating comparison rather than a direct multiple anchor. In Europe, adidas shows how one company can move from weak inventory and product cycles back toward growth; it reminds us that a lower multiple can re-rate only after execution becomes visible.

MENTAL MODEL

"A reverse DCF is a hurdle, not a price target."

It tells us what the market value requires under stated assumptions. Change the starting FCF, discount rate or terminal growth and the implied hurdle changes. Keep every assumption visible.

Why our base case is below the current quote

At $36, the base case allows for a gradual operating stabilization but not a full return to peak margins. The bull case at $50 assumes China stops deteriorating, Sportswear and Jordan regain energy, and the performance portfolio grows fast enough to absorb deliberate supply reductions. The bear at $24 assumes that the reset takes longer, the earnings base compresses and the market assigns a lower multiple to weak cash conversion.

We are not claiming those outcomes can be known precisely. The probability weights are a decision tool: they force us to compare likely upside with plausible downside. The weighted price is below the current close, so our action is to wait for evidence and a better entry—not to short a strong brand or to buy solely because its chart has fallen.

CHAPTER VIII

Reading the Tape — Trend, Volume & Momentum Opportunity

> *"A trend is a condition to be met, not a story to be told."*
>
> — RESEARCH DESK MAXIM

You and I can look at the same chart and tell two stories. One says the shares have already fallen far from their high and bounced over the past month. The other says the price remains below its long-term averages and the weekly momentum is still weak. The right discipline is to ask what the chart has confirmed, not which story feels more satisfying.

At the 6 November close, NKE was $38.59. The 30-week simple moving average was $41.04, the 10-week exponential average $37.75, the 50-day average $36.91 and the 200-day average $45.41. Price had recovered above the short averages but not the long ones. The snapshot calls that Stage 1 basing. A base can become a launchpad, but it can also become a pause before another decline.

The daily RSI was 54.88 and the weekly RSI 41.85. Neither reading is an extreme. TradingView's volume was about 0.57 times its 30-day average, while the market-facts ledger measured volume at 0.82 times its 20-day average. Different windows produce different values, but both say the session was quieter than average. Quiet trading is not proof of accumulation; it is simply less evidence of urgency.

The one-month rebound of 11.1% deserves respect but also context. Over one year the stock remained down 37.6%, and the close was 44.2% below the 52-week high. Relative strength versus the S&P 500 was negative over 63 sessions and positive over 28. That looks like a short-term recovery inside a weaker medium-term structure. We should not turn a bounce into a "breakout" by changing the time window.

The screen's support band is $37.18 to $38.53, just below the closing price. If price tests that area, we want to see it hold and produce a higher low. Then we want a weekly close above the 30-week average while that average starts to rise. A move above the 200-day average at

$45.41 would be more convincing, but it is not required to start observing the setup. The $36.29 invalidation marker is a reference, not a guaranteed stop fill.

The dashboard did not provide the industry breadth and formal sector-rank fields we would want for an institutional-flow conclusion. The breakout tag was None. We will not fill that gap with a narrative about institutions accumulating shares. Ownership and short-interest snapshots are useful context, but they cannot identify the intent of each holder.

For the one-to-twelve-week trader, our verdict is wait. For the medium-term investor, wait for a rising 30-week line and a fundamental improvement in sell-through and China. For the long-term investor, the chart says timing is uncertain, not that the business has no value. The technical picture is a gate: it tells us when evidence has improved enough to reconsider, not whether the company deserves admiration.

Let us define the stage before we interpret the chart. Stage 2 requires price above a rising 30-week average, with the longer trend and supporting moving averages aligned. Nike does not meet that condition on the 6 November data. The share price is below the 30-week and 200-day averages, even though it sits above the 20-day and 50-day averages. The right label is Stage 1 basing, not a Stage 2 breakout.

You will notice the one-month return is positive while the one-year return is sharply negative. Those windows do not contradict each other. They show a rebound within a larger decline. Daily RSI is neutral, weekly RSI weaker, and volume was below its 30-day comparison. A chart reader should resist the temptation to promote the best-looking time period into the whole story.

The screen gives us a near-term band of $37.18 to $38.53 and nearest support around $37.96. The close at $38.59 is just above it. This is a useful place to watch how buyers and sellers behave, but it is not a command to place a limit order. The longer trend still needs to improve, and the business thesis still needs cash evidence.

If you want a rule to revisit, write one down now. A weekly close above $41.04 while the 30-week average flattens and turns higher would be an initial change. Better volume and relative strength would add credibility. A move under $36.29 weakens the support setup; a break

under $31.97 would damage the wider base. Those levels are references from a snapshot, not a promise about where a trade will execute.

You and I should treat the chart as a measurement system with imperfect signals. The stage label has a definition: price above a rising 30-week average, supported by the shorter trend. Nike remains below that long-term line, so the screen's Stage 1 call is more honest than a claim of early Stage 2. The market could reverse tomorrow, but a possible reversal is not an observed reversal.

We also need to respect where a technical stop can fail. A $36.29 reference is calculated from a recent support structure, but a gap on earnings, a tariff headline or a broad market shock can trade through it. The correct response is not to move the stop lower until the thesis feels comfortable. It is to predefine risk, decide whether the trade is worth taking, and decline the trade if the downside is too large.

The hardest chart habit is resisting the urge to narrate every candle. A fast rebound feels like confirmation when we already like the company; a red day feels like proof of failure when we are afraid. We avoid both reactions by writing down the level and the condition before the next session: the support band, the reclaim above the 30-week line, the volume context and the fundamental checks. Then the market can give us new information without forcing us to invent a new story.

> **NARRATOR'S REFLECTION**
>
> *"The closer we get to the athlete, the closer we get to the consumer."*
>
> That was Hill's strategic explanation on the Q1 call. The chart tells us the market has not yet rewarded the strategy with a sustained trend. We can believe the operating work is underway and still wait for price confirmation.

GLOBAL PARALLEL (US / INDIA / EUROPE)

In the United States, HOKA and Deckers illustrate how a product leader can gain attention before a diversified rival's chart turns. In India, Campus Activewear shows why a strong local franchise can trade through different liquidity and price cycles than a U.S. mega-cap. In Europe, adidas' recovery followed product and inventory repair, but the chart alone could not prove the sell-through. Across all three, the tape is a timing input; filings and retail evidence remain the business test.

MENTAL MODEL

"The market can be early; our capital does not have to be."

Support tells us where to observe. A rising 30-week trend, improving relative strength and healthy volume tell us the setup is changing. Until then, waiting is a position.

Signals that would change the chart verdict

First, price must hold the $37.18–$38.53 area rather than slice through it on heavy volume. Second, the 30-week average should flatten and turn upward; a close above a still-falling average is not enough. Third, relative strength should improve across a medium window, not only a few sessions. We would then ask whether quarterly sell-through and cash data support the technical move.

For now, the stock is near short-term support but remains below the primary trend. That is a definition of patience, not pessimism. The next chapter brings both sides of the investment case together and turns the observation zone into a disciplined action plan.

CHAPTER IX

Bull vs. Bear, Likely Outcomes & Our Action Plan

> *"A thesis is not an action plan until it names the price of being wrong."*
>
> — RESEARCH DESK MAXIM

You and I have now followed the business from its early running-shoe distribution roots to product design, factories, wholesale accounts, owned stores and the cash statement. The final decision is not a vote on whether Nike matters. It is a question about what is likely to happen next and how much of that outcome the current price already assumes.

The bull argument deserves to be stated in its strongest form. Nike still has one of the broadest sport platforms in the world, deep relationships with athletes and teams, a huge design archive and a balance sheet that can fund a reset. Q1 performance growth was real, North America grew, and the move back toward wholesale may improve product availability and retailer confidence. Running, football and basketball offer room to grow, and the company can reapply marketing and product capabilities across geographies.

The bear argument is not that the brand disappears. It is that Nike's scale and history may make it slow to adapt. Sportswear and Jordan have been too dependent on a few franchises, China is cleaning up a fragmented digital marketplace while domestic brands grow, and Direct remains weaker. Converse is small and deteriorating. FY2027 revenue is expected to fall at a high-single-digit rate, EBIT to decline more, and the Pace savings arrive over years with meaningful costs. Cash conversion has weakened just as the company needs to invest in new product.

Both arguments fit the evidence. The company has improved its strategic focus and some performance categories; the consolidated business has not returned to growth. Wholesale grew in FY2026 and slipped in Q1. Gross margin improved in Q1, but tariffs, logistics and promotions affect the comparison. China's reset may strengthen the long-term marketplace, but it will likely reduce near-term revenue. We should not turn every adverse metric into a temporary exception or every positive launch into a new franchise.

Our probability frame gives the bear a 25% chance at $24, the base a 50% chance at $36 and the bull a 25% chance at $50 over twelve months. That yields $36.50 before dividends, below the current $38.59. The values are not forecasts from management. They are a way to expose our assumptions: the base needs stabilization and some EPS recovery; the bull needs China, Sportswear and cash to improve together; the bear allows persistent weakness without assuming the brand is permanently broken.

For a short-term trader, we wait. The support zone is $37.18–$38.53, but the price remains below a rising long-term trend because the 30-week average is still overhead and not rising. We want a support hold, a higher low and a weekly close above roughly $41.04 on better volume. The $36.29 screen invalidation is a reference, not a guarantee. If price falls below it, we cancel the near-term setup rather than invent a reason to stay.

For a medium-term investor, the decision is deferred until the next evidence. We want Greater China to decline less, wholesale reorders to improve, Direct traffic to stop worsening, and inventory and receivables to become more proportionate to sales. The November Investor Day was scheduled but had not taken place by our cutoff. We should not write a report from a future presentation or pre-pay for targets we have not yet heard.

For a long-term owner, Nike is still a quality watch. Its brand, product engineering and global routes to market may compound again. But a compounding case needs rising returns on capital and cash after reinvestment. Our gates are annual free cash flow above $3 billion, receivables growing slower than sales, gross margin sustained without exceptional tariff support, and a confirmed Stage 2 trend. Until several of those conditions hold together, we do not average down simply because the share price is lower.

You and I can make the bull case without using a slogan. Nike still has an enormous sports platform, strong product and marketing capabilities, global distribution, athlete relationships and a balance sheet that can fund a reset. Q1 performance growth was real, North America grew, and the company says it is repairing wholesale ties while narrowing China distribution. If those pieces reinforce one another, Nike can return to full-price growth and the current cash base can recover.

The bear case is not a caricature. The performance business is not yet big enough to offset weaker Sportswear, Jordan and China. Direct sales are declining, Converse is under pressure, and receivables grew much faster than FY2026 revenue. The latest quarter converted $712 million of net income into only $135 million of CFO. A multiyear savings program may help, but it may also arrive after several more years of lost demand. Cash conversion is a direct test of the comeback.

Our scenario frame gives the bear a 25% chance at $24, the base a 50% chance at $36 and the bull a 25% chance at $50. The weighted value is $36.50, about 5.4% below the current quote before dividends. The base assumes the business stabilizes, not that it returns quickly to peak economics. The bull is valuable but not our most likely outcome. That leaves inadequate expected return to start a position at $38.59.

For the short-term trader, the stock is a wait. The support band is $37.18–$38.53, but the price remains below a rising long-term trend because the 30-week average is still overhead and not rising. We want a support hold, a higher low and a weekly close above roughly $41.04 on better volume. A break under $36.29 cancels the setup; a break under $31.97 damages the larger base. The chart is a timing gate, not an excuse to ignore fundamentals.

For the medium-term investor, wait for the next reporting cycle and Investor Day. The company should show that China can move toward a smaller decline, that wholesale orders are healthier than the shipments they replace, and that Direct stops deteriorating. The $2.5 billion Pace promise should be tracked net of charges and reinvestment. If no new evidence appears, patience remains the right action even if the stock bounces.

For the long-term investor, Nike is a quality watch, not yet a proven cash compounder at this entry. We would reconsider after annual free cash flow moves above $3 billion, receivables grow more slowly than sales, gross margin holds without exceptional help, and the 30-week trend turns upward. Those are observable conditions. They give us a way to change our mind without pretending we knew the recovery date in advance.

You do not lose discipline by waiting for proof. You lose optionality when you confuse a fallen share price with a margin of safety. Nike may become attractive after the market has begun to confirm the turnaround; the first part of a move is the price of reducing

uncertainty. Today, our independent verdict is to preserve capital, keep the business under close review and demand evidence before buying.

An action plan should include the possibility that we are wrong in both directions. If the company recovers quickly, our wait may leave upside on the table. If the reset fails, waiting avoids the temptation to average down a falling stock because it feels cheaper. We would update the probability weights only after evidence changes, not because the share price moves a few dollars.

Keep the thesis on one page: brand and product capability are the assets; channel trust, China, Sportswear/Jordan and cash conversion are the repair tasks; $38.59 is the observed close; $37.18–$38.53 is a monitor band; $36.29 weakens the near-term setup; a rising 30-week average and better cash evidence are required for a new position. That is a decision process you can revisit without rewriting history.

The probability weights are not a claim that the future can be measured to the nearest percentage point. They are a discipline against telling only one story. After a new filing, you and I can ask whether the base has become more likely, whether the downside has widened, or whether a genuine product and channel inflection is now visible. If the evidence changes, the action changes. If only the share price changes, we first ask why.

> **NARRATOR'S REFLECTION**
>
> *"We have a lot to prove."*
>
> Hill used that plain sentence in the Q1 call. I like it because it leaves room for effort and for failure. A good analyst does not need management to be wrong; the analyst needs the evidence to arrive before the capital does.

GLOBAL PARALLEL (US / INDIA / EUROPE)

In the United States, Deckers' HOKA demonstrates how a focused performance engine can support rapid growth, while also reminding us that a high-quality product can still disappoint if consumer momentum slows. In India, Campus Activewear competes on localized price and reach, a different route to consumer relevance than Nike's global premium architecture. In Europe, adidas' turnaround provides an existence proof that a major sportswear brand can rebuild after product and inventory issues, but investors still need to watch profit and cash. Each case supports possibility; none converts Nike's plan into certainty.

MENTAL MODEL

"Own the evidence, not the adjective."

"Iconic," "turnaround" and "undervalued" are labels. The investable evidence is sell-through, returns, margin, working capital, free cash flow and price trend. When those align, the label becomes less important.

The action plan you can revisit each quarter

Write the business gates next to the price gates. If China continues to fall sharply, if Direct declines accelerate, or if cash remains well below earnings, the thesis weakens even if the chart bounces. If performance growth broadens, wholesale partners reorder, the marketplace clears without deeper discounts and CFO recovers, the medium-term case improves. The evidence should be visible in the next filing, not inferred from a press release headline.

At $38.59, we do not open a new position. We keep Nike under study, retain the $37.18–$38.53 area as a monitor zone, and require a reclaim of a rising $41.04 30-week average before reconsidering short-term entry. The long-term case may eventually earn our capital. Today, patience has the better expected value.

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This Masterclass Companion Book was authored for private study, audiobook narration, and disciplined portfolio execution.

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